

Q2 2025 United Airlines Holdings Inc Earnings Call Transcript

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Key Points

☒ Transcript ☐ 10-Q ☐ 8-K

Q & A

Ask GuruAI

Key Points

Positive

- United Airlines Holdings Inc (UAL) reported a record revenue of \$15.2 billion for the second quarter, marking a 1.7% increase.
- The company experienced a significant improvement in demand, with a double-digit acceleration in business demand and positive inflection in bookings.
- Operational performance was strong, with United ranking number 2 in on-time departures among the top 8 US carriers.
- United's international operations outperformed domestic, with positive RASM growth in the Pacific region.
- The company successfully reduced its gross debt by almost \$11 billion since the peak debt level of COVID, strengthening its balance sheet.

Negative

- Newark Airport faced significant challenges due to FAA technology outages and runway construction, impacting Q2 margins by approximately 1.2 points.
- Consolidated TRASM for the quarter was down 4% despite a 5.9% increase in capacity.
- Demand was weaker than expected in the first half of the year, attributed to high levels of uncertainty for businesses and consumers.
- The Atlantic region experienced negative RASMs year-over-year, indicating challenges in pushing RASM higher during peak periods.
- The company anticipates a temporary negative impact on Q3 revenue results due to lingering effects from Newark's issues.

Operator

Good morning, and welcome to United Airlines Holdings earnings conference call for the second quarter of 2025. My name is Krista, and I will be your conference facilitator today. (Operator Instructions)

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I will now turn the presentation over to your host for today's call, Kristina Edwards, Managing Director of Investor Relations. Please go ahead.

Kristina Edwards
United Airlines Holdings Inc - Managing Director, Investor Relations

Thank you, Krista. Good morning, everyone, and welcome to United's second quarter 2025 earnings conference call.

Yesterday, we issued our earnings release, which is available on our website at ir.united.com. Information in yesterday's release and the remarks made during this conference call may contain forward looking statements which represent the company's current expectations which are based upon information currently available to the company.

A number of factors could cause actual results to differ materially from our current expectations. Please refer to our earnings release, Form 10-K and 10-Q and other reports filed with the SEC by United Airlines Holdings and United Airlines for a more thorough description of these factors.

Unless otherwise noted, we will be discussing our financial metrics on a non-GAAP basis on this call. Please refer to the related definitions and reconciliations in our press release. For reconciliation of these non-GAAP measures to most directly comparable GAAP measures, please refer to the tables at the end of our earnings release.

Joining us on the call today to discuss our results and outlook are Chief Executive Officer, Scott Kirby; Executive Vice President and Chief Operations Officer, Toby Enqvist; Executive Vice President and Chief Commercial Officer, Andrew Nocella; and Executive Vice President and Chief Financial Officer, Mike Leskinen. In addition, we have other members of the executive team on the line available for Q&A.

And now I'd like to kick the call over to Scott.

J. Scott Kirby
United Airlines Holdings Inc - Chief Executive Officer, Director

Thanks, Kristina, and good morning, everyone. The second quarter was yet another proof point that the United Next strategy continues to work and as the two brand-loyal revenue diverse airlines continue to generate the bulk of industry profits. I'm extremely proud of the team for executing a strong operation and navigating through a volatile macro period and unique short-term issues that impacted United Newark while still managing to grow earnings and margins for the first half of the year.

Newark faced unique challenges this quarter. With the help in partnership with the FAA and DOT, it has rebounded stronger and has been the best performing airport in the New York City area. But I know that everyone, including us, cares more about the future than the past. So I'm going to start today with the two macro drivers of our industry, supply and demand.

From a supply perspective, it's deja vu all over again. This is almost the exact same setup that we had a year ago at this time with weak RASM results across the industry, leading to supply cuts, starting in mid-August, leading to better margin results which then led to strong stock price performance.

But demand also matters in this equation and demand, while it stabilized, was about 5 points weaker in the first half of the year than we were expecting at the start of the year. As we look closely at the data, we've had a hypothesis, which seems increasingly correct.

Demand was weak for the last five months due to high levels of uncertainty for both businesses and consumers. I'm sure that's not a shocking thesis. But in the past few weeks, the level of uncertainty has declined. The tax situation is settled after the reconciliation bill pass. The geopolitical situation in the Middle East appears to have stabilized. And while tariffs are not yet certain, I think the market in most businesses have a much better read on how they'll manage in a narrower range of outcomes.

And encouragingly, that higher level of certainty has translated into a meaningful inflection point in demand. It's only three weeks' worth of data. Andrew will give you more detail. But as uncertainty has declined, we've seen an improvement in book revenue, including a double-digit acceleration in business demand.

So to summarize the macro. Supply is adjusting once again, just like it did last year. Demand feels to us like it is inflected upward and is returning toward the normal trend line we expected at the start of the year. And bigger picture, for United, the industry and United industry-specific transformation we've been discussing over the last few years continues to play out.

One, revenue diversity, and that includes basic economy just as well as premium, is the only formula that works in the US to have industry-leading margins. Two, the two brand loyal airlines continue to just gradually win share quarter-over-quarter and the advantages that we have are structural, permanent, irreversible and they're growing, and it's simply not practical to copy them. Three, cost convergence, specifically at the high-cost airports is making the economics of flying at those airports for low-cost carriers very challenging.

For what it's worth, the only remaining successful LCC around the globe in my view is Ryanair. And guess what? That's because they're the only LCC that stayed true to their founding principles and don't fly to high-cost airports like London, Heathrow or (inaudible).

Four, and all of that is gradually leading airlines to focus on their comparative advantages. It's often two steps forward and one step back, but the trend continues to be towards each airline flying more and more in places where they have relative strength and shrinking in places where they're at a disadvantage. That, of course, is just basic economics, but it's happening. And because it's just basic economics, that trend is going to continue for years to come.

So to conclude, I'm proud of the team for overcoming the macro and Newark environment in the first half of the year. We had high confidence that the supply changes were coming, but it's good to actually see them. But I'm also encouraged that the demand environment appears to have inflected back towards the trend line we're expecting to start the year.

Typically, I would now leave it to Brett to speak next, but he's not able to join us for the call today. He recently had a pre-planned surgery and is on the road to recovery. We're looking forward to having him back soon.

So for today's call, I'll hand it off to Chief Operations Officer, Toby Enqvist.

Torbjorn Enqvist
United Airlines Holdings Inc - Chief Operating Officer, Executive Vice President

Thank you, Scott. I'm really proud of our United team and our operational performance in the second quarter. Before I detail our top-tier system-wide results, I'm going to start with the hop back at the most attention this quarter, Newark.

Located in the largest media market in America and the most crowded airspace in the world, Newark will always get outside attention even this past week when all the New York City airports were hit with severe weather, it disrupted a lot of travel plans and got a lot of airtime. Thunder storms are going to happen, especially in the summer. That's why cementing the progress we have made over the last couple of months to improve the resilience of our New York operation is a huge priority for United.

At the start of the second quarter, our New York team was thrust into the middle of a perfect storm, a string of FAA technology outages, combined with Newark's ongoing runway construction and the FAA staffing shortages drove cancellations and delays, impacting customers' perception of the reliability of the airport.

Those perceptions and the extensive negative news coverage of the situation at Newark Airport drove meaningful book-away and load factors dropped 15 points following the event. As a result of the book away and capacity reduction, Q2 margins were impacted by approximately 1.2 points. We expect that the impact will linger into Q3 with an approximately 1-point margin impact.

But here's the key takeaway, and it's really good news. We've already seen a dramatic turnaround in Newark. Bookings have largely recovered, and we don't expect any impact in Q4 because Newark isn't just back to normal, it's running better than ever. In fact, United's operation at Newark had the fewest cancellations and most on-time flights of any airport in the New York area in the month of June.

The airport now is actually operating within its capability, and our team is back to running an operation that delivers a great experience for our customers. These are the changes that made it possible. Thanks to the great work of the airport authority and Newark runway construction was completed two weeks early and the runway re-opened on June 2.

The FAA was able to upgrade their fiber optic technology, and perhaps the most importantly, the FAA implemented badly needed hourly flat caps to prevent the airport schedule from exceeding its capacity. Newark has had a schedule and capacity problem that we have been urging the FAA to fix for more than a decade. And thanks to the leadership shown by Secretary Duffy, we now have the line of sight to a longer-term solution to this problem.

If slightly we look back and find that this long-term capacity fix is the most important and positive outcome for the southern public. What happened in Newark in April and May is also evidence of the broader need to improve our nation's ATC infrastructure. United was deeply engaged with Secretary Duffy and the FAA, who successfully advocated for the \$12.5 billion in funding that Congress just passed earlier this month to begin the long overdue process of rebuilding our outdated ATC infrastructure.

Much of this funding will go towards upgrading copper wire to modern fiber optic cables to help reduce the hundreds of outages that FAA experience across the ATC system. We look forward to working with Secretary Duffy and leaders in Congress for the additional funding needed to fully update our ATC technology.

I actually ran Newark Airport for United from 2011 to 2014. So I know the airport really well, and I'm more optimistic about the United's future there than I've ever been, because Newark has never been in better position to operate reliable and profitable than there is right now. From the FAA to Secretary Duffy, to Governor Murphy to the New Jersey Congressional Delegation to the (inaudible) of New York, New Jersey, lots of people deserve credit for this turnaround.

But our team on the ground in Newark to serve the most. They are professional, resilient, focused and

committed. Despite challenges that were out of their control, they showed up day after day and deliver for our customers and one another. All across the system, United operation continues to fire on all cylinders and continue to be a big reason why our airline is thriving.

We ranked number 2 in an on-time departure among the top 8 US carriers, even though we operate in the toughest markets in the world, all while managing a record high customer volumes, including the busiest travel day in United history with over 611,000 passengers on June 22.

We also had one of the lowest second quarter seat cancellation rates in our history. This operational strength played a key role in supporting our strong NPS performance in the quarter, our highest Q2 NPS since the pandemic. Thank you to the entire United team for delivering a fantastic second quarter result, I will now hand it over to Andrew to talk about the revenue environment.

Andrew Nocella

United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Thanks, Toby. United's top line revenue increased 1.7% to a record \$15.2 billion in the quarter. Consolidated TRASM for the quarter was down 4% on a 5.9% increase in capacity. Adjusted for events at Newark, we believe United TRASM would have been down 2% to 3% and our EPS would have been at the high end of our guide. This outcome for Q2 comes during the highest level of geopolitical and macroeconomic uncertainty we have seen in years.

International flying outperformed domestic yet again with a RASM decrease of 1% compared to a domestic decrease of 7%. United Pacific operations continued their impressive results to a positive RASM growth in Q2 across most destinations. We look forward to new service to Thailand, Vietnam and the Philippines starting later this year, subject to government approval.

The Atlantic, which had an incredible run of 23% RASM growth since the pandemic did have negative RASMs year-over-year. Unlike in off-peak quarters, pushing Atlantic RASM higher in peak period has proved more difficult in part due to the spread of leisure demand to usually lower demand periods. Margins in these historically off-peak periods are up, while margins in peak months, which are still high, are down.

Premium cabin revenues were again strong in Q2, increasing 5.6% year-over-year, while the economy cabin was negative. Overall premium RASMs were 6 points better than non-premium. It's nice to see once again that the premium capacity remains resilient. Given the consistency of these results, we plan to further lean into premium product and capacity in the coming years.

Cargo performance is strong with revenue up 4% year-over-year on record volumes and loyalty revenues had another strong quarter with revenues up 9%.

Now turning to our outlook for Q3 and the rest of the year. Newark's negative impact on bookings in Q2 for future travel are expected to have a very temporary impact on revenue results in Q3 of about 1 point. The good news is Newark's share of New York city sales has now largely recovered in July, along with the reliability of our flight operations. Passengers can now book with confidence.

Newark sales returned to normal pre-United are critical to our revenue performance. However, in addition to normal New York sales volumes, we are seeing a step down in published industry capacity later this summer that we believe will be a positive for United.

Published industry domestic capacity for August and September indicates slightly less capacity year-over-

year, when just a few months ago, it was published at up almost 4%. Low-margin airlines without strong brand loyalty and diversified revenue streams are cut-in unprofitable flying. We believe this is always an inevitable outcome, an outcome that we expect will be uniquely beneficial to brand-loyal airlines with much higher margins and well-diversified networks and products.

A great reset we see from the low-margin airline today makes sense for them, but in no way do we expect them to match what we offer consumers today, plus what we have planned in the future.

We have a large lead and we intend to maintain that with further innovation. Combining the normalized Newark sales, along with less overall industry capacity, sets up an improved revenue backdrop. However, the most important development for revenues is at the overall demand environment.

Recent United and industry sales data confirms a demand environment that has inflected positively in recent weeks due to this less macroeconomic uncertainty. Just as quickly as demand stepped down in early February due to this uncertainty, it appears that demand is now stepping up. This step-up is a 6-point positive swing in sales to-date in July versus the second quarter but even more importantly, a double-digit swing in higher yield in business revenues in the same period.

Domestic tickets sales are now also showing positive year-over-year yields, reflecting this improved demand environment for the first time since February. For us, we believe these four factors of newer performance, industry capacity, demand improvements and positive domestic yields makes the setup for post-summer 2025, very similar to the period in 2024.

As you will recall, the second half 2024 setup created a very good outcome for Q4 and a nice run-up in our stock price. This significant positive momentum in sales in recent weeks is nice to see, but it is really important to draw distinction between bookings and flown revenue as we look at Q3. Recent booking strength does not change the fact that 50% of the third quarter sales were sold as of July 1, prior to the change in segment, along with the unique impact of temporary lower demand for Newark on United sales.

The setup for global flying all looks much better as we head into Q4. For United, Q3 relies the most on the segments of the business that have been the weakest in 2025. Offshore sales and main cabin sales. As we head into Q4, we historically rely more on onshore business and premium demand, which makes Q4 of a better outlook in the current environment. Our early look at Q4 global yields and bookings support our view but we still have a long way to go and Q3 RASMs will likely be negative year-over-year.

In summary, booking strength is -- now translates into stronger flowing revenues and RASMs later in Q3 and Q4. This recent sales momentum, along with about 1 point of negative impact on Newark on Q3 RASM gives us confidence that the implied RASM step-up from Q3 to Q4, we have in our internal outlook is quite achievable and maybe even conservative.

We are hopeful that cooled Middle East tensions will allow a full schedule to Tel Aviv soon. We plan to resume Tel Aviv service initially just from Newark on July 21 and will include other gateways later this year.

Building domestic capacity at our hubs continues to be one of our largest focuses for 2025 and 2026 as we recreate winning schedules and ultimately larger PRASM, RASM premiums versus others in the process. We believe this connectivity effort, combined with larger gates nearby the jets with more premium seats will narrow significantly the margin gap between our domestic and international flying.

United has grown its relative TRASMs by 7 points more than the industry since 2019 and faster than other carriers since the pandemic as evidence that our plan is working and not all capacity is created equally.

Brand loyalty for United is increasing with documented share gains in Q1 in each of our hubs. United's revenues are more diverse than ever, and in the process, our product choice range gives customers more choices for the experience they desire. United plans to introduce the Polaris Studio suite later this year, another step in increase in our premium capacity and revenue diversity.

We also look forward to building our Blue Sky collaboration with JetBlue later this year to help create a more competitive alternative for United customers and MileagePlus members in New York City, along with Boston. We also look forward to returning to JFK in 2027 after a long absence with a competitive schedule and a built-in frequent flyer base.

In summary, we remain bullish about the future given less macroeconomic uncertainty we are seeing, plus scheduled capacity changes by the low margin airlines later this summer. The inflection in bookings and yields we've recently seen gives us great confidence. With that, I want to say thanks to the entire United team for running a great airline in Q2, and I will hand it off to Mike to discuss our financial results.

Michael Leskinen

United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Thanks, Andrew. I'm very proud of the United team this quarter. We faced several geopolitical challenges that impacted the fuel prices and customer demand while also managing through the Newark difficulties that Toby discussed earlier.

And despite all of this, we delivered earnings per share of \$3.87, well within our guidance range and ahead of Wall Street expectations of \$3.81. I'm very pleased with these results, and I want to highlight that if we excluded the financial fact of the Newark disruption, we would have been above the high end of our range. This is another proof point that our United Next plan is working. In fact, I'd go as far to say that our plan has worked.

The industry has transformed into a healthier industry where customers are brand-loyal and increasingly choose to fly not just based on the schedule but also based on their preferences for reliability, for clubs, for technology and for loyalty programs. The industry now has two brand-loyal, structurally profitable and revenue-diverse airlines, which has driven much of the rest of the industry to cut money-losing capacity to return to profitability. This is irreversible and will lead to stable double-digit margins for United Airlines.

Turning to costs. We continue to run better than planned, and I'm pleased with the 2.2% CASM-ex growth we delivered in the second quarter. You've heard me say that the best way to manage cost is to run a reliable airline, and this team continues to deliver. I expect similar cost performance for the remainder of the year.

As we look to the third quarter, we expect continued stabilization in the geopolitical environment. This is already driving stronger bookings, and as Andrew discussed, we're optimistic those trends will continue. Taking that into account, along with the continued strong cost performance, we expect third quarter EPS to be between \$2.25 and \$2.75.

Consistent with what happened last year, we also expect the industry to continue to reduce money-losing capacity in domestic markets beyond September. This adds to our confidence in the fourth quarter and may even lead to upside as we continue to believe in our path to double-digit pretax margins longer term. For now, we expect full year EPS to be between \$9 and \$11.

Turning to the balance sheet. We ended the second quarter with \$18.6 billion in liquidity, including our \$3

billion undrawn revolver. We generated over \$1.1 billion of free cash flow, and importantly, on July 7, we paid down the remaining \$1.5 billion balance of our MileagePlus bonds two years early. This was our most expensive remaining fixed rate debt.

This prepayment, along with the prepayment of the MileagePlus term loan a year ago, fully un-encumbers the MileagePlus business, a crown jewel asset of United. With this prepayment, we have unencumbered assets that exceed \$40 billion. Strengthening the balance sheet remains a top priority, and we target net leverage below 2x and continue to work towards investment grade. With this prepayment, we've now reduced our gross debt by almost \$11 billion since the peak debt level of COVID. Our average cost of debt is now 4.7%.

On the buyback, we repurchased \$235 million worth of shares at an average price of \$66 during the quarter, leaving \$829 million in authorization. We will continue to take a balanced approach to our capital allocation strategy. Our shares continue to trade below our view of intrinsic value. Therefore, we are balancing the level of buyback while also pursuing our leverage target.

We ended the second quarter at 2x net leverage. Free cash flow generation also remains a priority, and we now expect to generate over \$2 billion in free cash flow for the year.

In conclusion, I remain excited about the future of United Airlines, and we will continue to work to deliver on our financial commitments. Despite the headwinds we faced in the first half of the year, we delivered significant growth in EPS, and we feel very good about the core fundamentals of our airline in the second half of 2025 and beyond. Now back to Kristina to start the Q&A.

Questions & Answers

Kristina Edwards
United Airlines Holdings Inc - Managing Director, Investor Relations

Thanks, Mike. I echo that excitement. (Event Instructions)

Operator

(Operator Instructions)

Tom Wadewitz, UBS.

Tom Wadewitz
UBS Securities LLC - Analyst

It's Tom Wadewitz from UBS. So I wanted to ask you a bit on the cost side performance, Mike, I think your comments were pretty favorable. Obviously, the 2.2% CASM-ex in 2Q is very good. How do we think about that going forward? And then I think there was a particular expense item that seemed a bit lower than kind of normal.

The distribution expense was down quite a bit year-over-year in sequential, which seems different than normal. I don't know if there's something that's kind of one-off helping you there. Or just more on the cost side and how you keeping a strong performance going on that?

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Tom, I appreciate the question. I'm really proud of the cost performance, better than I certainly expected back in January. I want to be clear, we expect similar cost performance to Q2 and both Q3 and Q4. For '26 and beyond, you have to wait as we continue to work on budgets. Distribution expense does continue to come go down as more customers are choosing to go through the direct channel. So I do expect that long-term trend.

We did get some benefit this quarter that has some puts and takes that brought that down even more in the second quarter. But longer term, the distribution costs are headed lower, and we're really proud of that result as well.

Tom Wadewitz
UBS Securities LLC - Analyst

Yes. That's great. And then a follow-up, just on demand. You had some really helpful commentary. Are we back to January levels on demand? Or we're kind of on the way back there? Or how kind of reset to say, okay, in July with Newark recovery and a little bit of stabilization kind of just where are we at?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

It's Andrew. Look, what we said is there's been a 6-point inflection versus Q2. It's an even stronger inflection for business traffic during that time period. There's a lot of machinations with the numbers prior to that. But I just think from where we are standing today, we're really pleased by that change in direction bookend combined with less capacity starting in August and September, and then some more favorable Q4 environment.

So we do think it's a nice step up and hopefully conservative based on where the bookings have recently been, but it's a good change in direction.

Operator

David Vernon, Bernstein.

David Vernon
Sanford C Bernstein & Co LLC - Analyst

So Mike, the last time we spoke, you put out kind of two guidance ranges, one that would be intact if things were stable. Now we're coming down to a kind of a little new lower midpoint. Can you kind of walk us through kind of where we're settling in or what's changed from stability to where we are now?

And then talk about kind of what's baked into that second half guidance, particularly around the acceleration of demand. Are we baking that kind of into the guidance range? Or is there an ability to kind of maybe do better than what we're laying out here in the second half?

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Thanks, Dave. Really appreciate the question. Look, we've had a philosophy here at United to guide conservatively to build in one act of God, because this industry, things happen. Fuel prices spike. There's an ebb and flow in tariffs.

There's lots of things that change. And so it is important to us we deliver on our commitments. And so as

you look at that \$9 to \$11 for the full year and what's implied by the second half, we are consistent with our philosophy of building in that act of God.

If you go back to the end of the first quarter in the call, we talked about the two ranges. The world was highly uncertain at that time. And I was very clear at that time that the higher range, the \$11.50 to \$13.50 that there was no contingency left. That piece of the guide was not consistent with any more acts of God that would impact us.

But I'm very excited. The bookings over the last three weeks have been very strong. And if everything continues on that trajectory, I think the \$9 to \$11 will prove conservative.

David Vernon
Sanford C Bernstein & Co LLC - Analyst

That's helpful. And then, Andrew, you mentioned sort of looking at the implied RASM step-up you're getting from 3Q to 4Q, maybe also being a little bit on the conservative side. Can you kind of frame kind of what the levers are in there, that you're thinking might actually do better than what we're seeing right now? Is it in main cabin? Is it an acceleration of business? Kind of help us think through like what are the drivers of that step-up from 3Q to 4Q?

And where are the things you're more or less certain on?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Well, the most certain thing is what the airlines have published for schedules in August and September, which now just a few weeks ago, we're showing plus 4 and now showed negative for domestic. And so, I think the demand environment I just talked about, the ability for business traffic to rebound, which kind of changes the yield profile. I said we were booking negative yields for the majority of the year, and those have now flipped positive for domestic.

So when you take lower demand, positive yields and this pretty strong inflection in business demand for United, that's the reason I feel really great about the setup for Q4.

As we said earlier, it's a very deja vu in some of these circumstances to what we saw last year which was a pretty significant step up. So we anticipate the same based on what we've seen in published schedules based on demand, based on yields and based on business traffic.

Operator

Jamie Baker, JPMorgan.

Jamie Baker
JPMorgan Chase & Co - Analyst

This one is probably for Scott. Your primary US competitor has a significant non-union labor construct. It's got one of the most efficient hubs in the country. It's got a sizable MRO. It's got perhaps the most evolved relationship with its loyalty partner.

And to your credit, Scott, I mean, you've spoken publicly about holding Delta in high regard. So my question is, what are the catalysts that potentially allow United to overtake Delta margins in coming

years? Is it structural? Is it simply brand preference or perhaps you reject the premise that you can have the industry's highest margins, but I doubt that that's going to be your answer.

J. Scott Kirby

United Airlines Holdings Inc - Chief Executive Officer, Director

You know me well, Jamie. I appreciate the question. But what I'd say is, I do respect, Delta. In fact, on a conceptual level, much of what we have been trying to do for the last 15 years. The airlines have been -- is win brand-loyal customers. And I think they were the first airline and maybe the first in the US to really prove that winning brand-loyal airlines was the winning formula. Winning brand loyal customers with the winning formula for airlines.

But my focus is entirely on returning United Airlines to solid double-digit margins and higher absolute margin as opposed to what we do relative to Delta. I think we are the only two airlines that have a -- we are the only two brand-loyal revenue-diverse airlines. I think that is structural. It is permanent. We can talk to more detail about why it is not copyable by anyone else.

And we already generate the bulk of the industry profit. I suspect when you hear earnings results next week, despite the challenges that Delta had last year with CrowdStrike, we have this year, there's going to be those ups and downs, that our margin gap, between the two of us, our margin gap to the industry is going to continue to expand. And I think we're going to wind up in the same ballpark on margins.

You mentioned some of their advantages. We have some advantages as well. Our hubs are better. Atlanta is a great hub but collectively, our hubs, I think, are better. They are bigger cities, we have better international gateways in San Fran, Newark and Dallas in particular. So I think those are going to largely balance out. We're going to wind up with similar margins.

But I'd much rather us have 13% margins and Delta have 13.5%, then us have 10% and Delta have 9.5%. And everything we're doing is 100% focused on winning brand loyal customers and creating a great airline, and customers are going to choose to fly because that is going to maximize our absolute margins.

And this quarter is the other -- like this first half of the year, it's remarkable to me. Everything that's happened this year that we've grown earnings and margins for the first half of the year. And our guidance is for earnings to be down a little bit this year, given everything that has happened.

But we have a shot at actually growing earnings this year, which would be a truly incredible result. And proof point that winning brand-loyal customers was the right strategy. We started it a long time ago. You can't flip it overnight. The two of us have the right strategy, and we are going to generate the bulk of the industry profits.

Jamie Baker

JPMorgan Chase & Co - Analyst

Excellent. And then quickly for Mike, on the loyalty pay down, [Street] and I certainly get that it was here, high has caused prepayable debt, makes total sense from a financial perspective, but we keep circling back and asking ourselves if we should be thinking about that recent transaction through more of a strategic lens. Can you afford any perspective on that?

Michael Leskinen

United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Thanks for the question, Jamie. MileagePlus is a crown jewel asset for us. And we're absolutely thinking about the value of that business, the multiple of business with the resiliency of earnings that our Loyalty business has, is significantly higher than the historical average for the airline industry, and that's not lost on me.

My focus at this time is to provide segment disclosure. So there's more transparency on the earnings, the resiliency, the earnings growth of that business. And we're working very hard to get that segment disclosure to the market at some point next year. That's my focus. If our -- if the value is not recognized, we certainly will take more drastic steps, but the focus right now is only segment reporting. The unencumbering of the business does give us optionality.

Operator

Conor Cunningham, Melius Research.

Connor Cunningham
Melius Research LLC - Analyst

Maybe to piggyback on Jamie a little bit here. Scott, last third quarter -- or last year's third quarter, you talked a lot about the industry being on a path of the 2012 to 2014 cycle with margins doubling. Clearly, the environment kind of started off more challenging this year. So some investors kind of bannered that narrative, but I was just curious on how you view your thesis now? And what may have changed since the start of the year? Or really what you've learned and how that's been applied to that thesis in general?

J. Scott Kirby
United Airlines Holdings Inc - Chief Executive Officer, Director

I think the thesis is intact. What's different is what changed with demand this year. The thesis is really a supply thesis. That's what you can control, and that's what happened in 2012 and 2014. But 2012 to 2014 was in a backdrop to a stronger demand environment.

And this year, demand has changed. Demand inflected downward certainly for the first six months of the year, given everything that's happened, all the uncertainty in the world, at least that's my theory of what happened. And it started to inflect back positive.

Now it's not all the way back to what it was. The business managed to be covered -- it's not all the way back, but it is certainly inflected in a positive direction. And sort of my read of the economy and talking to other CEOs and just watching the data is that the economy hit a turning point, did hit an inflection point at the end of June, and I expect it to continue -- that to continue.

I think the supply portion of that 2012 is firmly intact. I think demand is on the road, demand has ups and downs, that always happens. It is on the road to recovery. I think one thing that's becoming even more clear though is also the strength, the dispersion of results in the industry and the strength of the two brand-loyal airlines really winning and everyone else losing.

And if I dig deeper into it and I look at every airline that's not named United or Delta, I can find at every single one of them, a double-digit percentage of their route net worth loses money. And the only way for them to get margins that are anywhere close to their WACC is to stop flying places that lose money. And that is going to ultimately happen.

I don't think it's going to happen tomorrow. I think it's going to happen in the near term, but I can look at

how much money is being lost route by route and know that economic gravity is ultimately going to end. So I think actually the results are going to -- in total, the industry is going to go in the same place for supply, but the results for the two winning airlines are going to be outsized in that environment.

Connor Cunningham
Melius Research LLC - Analyst

Awesome. Appreciate that. And then Maybe, Andrew, last quarter, you talked a little bit about taking the reins on industry still traffic. Obviously, just given the changes explained (technical difficulty) opened up basic economy a little bit sooner. But you're being pretty clear about what you're seeing in July. So I'm just trying to understand how you're managing basic economy versus other products out there especially from a couple of months ago?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Sure. I think the demand environment is what we said it was over the last 90 days, it's inflected much positive -- much more positive today. But that did create a setup for Q3, which means more open RM systems. I don't think that's going to be unique to United particularly in the domestic environment, and that has created some more lower yields, and it's created, I think, ultimately, when we report more penetration of basic economy passengers in our numbers for the next 90 days this quarter.

So expect a higher percentage of basic is my take as we go through the next 90 days.

Operator

Andrew Didora, Bank of America.

Andrew Didora
BofA Securities, Inc - Analyst

My first question probably for Andrew. I never think of summer as being the time for corporate demand to meaningfully accelerate. So any kind of color you can provide on what you're seeing there? Any specific geographies or industry verticals driving this? And are you still at the level of corporate bookings return to the level seen at end of 2024, early 2025 right now?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Well, first of all, we're comparing year-over-year, so we're comparing summer over summer, and we're seeing that strength in the numbers, which is nice to see. So I think it is consistent with a summer environment, which is, again, nice to see.

Second point, which I think is particularly important is the strength we're seeing is across all of our hubs and different verticals. So we're seeing a (inaudible) across the board, which I think reflects the commentary earlier about less macroeconomic uncertainty. So we have obviously a very strong recovery in New York. We're not fully recovered yet from a business point of view, but that's moving along.

But the fact that the non-New York business for United over the last few weeks, has been almost as strong as New York is one of the reasons I'm particularly excited. I do think this reflects customer choice, corporations choice and our relationship with travel agencies that we are being chosen more and more often. But the fact is -- and the most important of this question -- or answer is the fact that the growth

we're seeing in business traffic is across the board. It's not in any singular hub.

Andrew Didora
BofA Securities, Inc - Analyst

That's helpful. And then my second question for either you Andrew or Scott, if you want to chime in. Just on this whole industry capacity dynamic, why do you think we've been in this position a lot over the last few years, basically sitting here in the peak summer and seeing the need for capacity cuts coming in sort of the off-peak once we hit post August into Labor Day? Why do we not see more of this capacity, call it, disciplined more in the first half of the year or in other off-peak areas? Just curious your thoughts on that.

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Sure, I'll give it a try. Look, there's -- as we've said a lot now, there's really distinct carriers out there with distinct demand situations. And so for the leisure-oriented carriers that are also spill oriented carriers, which is a lot of them, I think it's really obvious very, very quickly that in the lower demand off-peak periods, it doesn't make a lot of sense to push the aircraft very hard, and a lot of airlines across the industry just simply have lower utilization.

Given that, I think there is a desire to offset that. It's just natural in our business across the board to see, to push the aircraft harder in Q2 and Q3 when demand normally seasonally turned. And I think that's the output that's occurred. We'll see where it goes next year. But I think it's pretty obvious in off-peak periods. It's hard to push aircraft. It's hard to push aircraft on red eyes. It's hard to push 05:00 AM flights or 10:00 PM flights.

And it's pretty obvious that we at United do not do that. I've talked about the golden hour flying, which is 07:00 AM to 08:00 PM. I think our golden hour percentage is the highest of any US carrier over a 12-month period. There are changes from month to month. And I urge you to pull that number, and you'll see that each airline has a different strategy when it comes to this, and we'll see where the industry is a year from now.

Operator

Scott Group, Wolfe Research.

Scott Group
Wolfe Research LLC - Analyst

So I'm just wondering, is there any way to quantify maybe how much of the 6-point improvement you're talking about is tied to Newark and how much is just broadly and then the implied improvement in fourth quarter RASM is that more of a domestic or international -- just any color there?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

I think a domestic improvement as we move forward given the capacity environment. 6 is broad-based. So Newark is better, obviously, in that number and then the rest of the network is below 6.

Scott Group
Wolfe Research LLC - Analyst

And then maybe, Scott, I didn't hear anything today about JetBlue and Blue Sky. Maybe just how you view that sort of driving your longer-term views around where margins and everything can get?

J. Scott Kirby

United Airlines Holdings Inc - Chief Executive Officer, Director

Well, Andrew had it in his script. But I think it's important for us we've become the premier flag carrier of the United States and being able to be in JFK, it's hard to really complete that unless we're there. A lot of customers you know them, probably some of your neighbors that fly out of -- fly both sides of the Hudson and it's important for us to be on both sides.

And this is a great way to do it, our partnership with JetBlue. They're customer-focused airline. They have the same DNA. They may not be as big as us, but they have the same kind of DNA for how to take care of customers and caring about customers, and this is a great way to have a built-in (inaudible) flyer base on both sides of the Hudson and get our metal back into JFK, which is important to our brand.

Operator

Tom Fitzgerald, TD Cowens.

Thomas Fitzgerald

TD Cowen - Analyst

Would you mind providing us an update on Kinective Media? A little over a year since the launch. And Richard's comments publicly have seemed pretty positive. So I'd love to hear how you're thinking about that and maybe being a contributor for 2026?

Andrew Nocella

United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Sure. I think things are moving along. We are spending a lot of time building our technology stack and building our client roster as we market our services. We seek to double our revenues in 2025 versus 2024 in the media revenue channel. We'll see how we come out. It's a big challenge, but we're moving along. And one of the big enablers for all of this is the seatback screens that we have installed years ago and the introduction of Starlink.

And obviously, the seat-back screens, they were making great progress on. We're well over half of the aircraft that have the new technology on board. Starlink, we just started. But when you combine Starlink and the seat-back screens, that's when the real magic happens. So that's going to unlock a lot more value at Kinective Media in the 2026, late '26, 2027 time period as we bring all the ingredients, including the internal technology stack online.

So we still have a great outlook. We're looking forward to rapid growth in the business as we bring all those factors together.

Thomas Fitzgerald

TD Cowen - Analyst

That's really helpful context. And then just on the fleet and the supply chain, would love to hear just how - what you're seeing on your end with deliveries and then just how you're thinking about the timing of the gauge benefit over the next couple of years?

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Tom, thanks the question. This is Mike. Boeing's doing a great job on narrow bodies. So we're seeing MAX delivery actually slightly ahead of the schedule we were planning on. So really pleased with that, and all evidence suggests that they're going to maintain that trajectory.

On the widebody front, 787s, they haven't got to plan yet. We're hearing good things, but there's also some engine constraint widebody longer term. So the jury is still out on wide-body, but Boeing is doing a great job on the narrow side, and minimal delays, but some still delays with 321s.

Overall, the supply chain is healing itself, but I think probably engine remains constrained for some time to come. I'm sorry, the second part of your question?

Thomas Fitzgerald
TD Cowen - Analyst

Just how we should think about the cadence for the gauge benefit that you guys are going to see over the next kind of '26 and '27?

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

As we move into 2026, current plan has gauge up 2%. And I think gauge growth will accelerate from there in '27. So that's where we are.

Operator

Catherine O'Brien, Goldman Sachs.

Catherine O'Brien
Goldman Sachs Group Inc - Analyst

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Maybe the first one for Mike. You know the costs have continued to go by the plan. Can you just dig in a little on what went better in 2Q? And then what are the cost tailwinds you have in the back half to offset the flight attendant ratification headwind that you end up with a similar performance in back half versus 2Q that I don't believe had the flight attendant contract or maybe that two half comment doesn't include the impact of new flight attendant contract? Any other -- any help there would be helpful.

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Thanks, Katie. I did say in my script, and I'll reiterate it, that running a strong and reliable operation, versus what we were thinking. And we had aggressive goals, but me and team have done even better. That's number one. Number two, we've made some big changes in our procurement department, and we're seeing some real savings out of the supply chain.

We're also doing a better job of managing inventory apart. And so that's been very helpful as well. I think that, that all continues and will be -- we will also benefit from gauge as it starts to accelerate. So we feel very good about that. And when I gave the comments around CASM in Q3 and Q4, that is inclusive of the

AFA deal.

Catherine O'Brien
Goldman Sachs Group Inc - Analyst

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That's great. Maybe one for Andrew. You noted the [CEO] has given you more confidence in premium products, and you'll look to increase premium more going forward. I'm assuming that means increasing the percentage of premium seats per departure, but correct me if I'm wrong. I guess just any thoughts on where that percentage could go over the next 5- to 10 years?

And within that, is there any segment in the premium cabins between Economy Plus, International Premium Plus or Polaris, that would be -- due to the bulk of that upsizing? Or it's really equal across the various premium cabins?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

It's a really good question. I'll give every detail. We'll save that for a more detailed type structured meeting. But we announced our United Elevate interior onboard, the 787-9, in Brooklyn just a few weeks ago, and that particular aircraft will now have 99 premium seats on it, which is Polaris Plus, Premium Plus. Not every aircraft United flies by the way that we deliver in the future, will have that same 99 seats.

But that's a good reflection of an aircraft that we already said will be flying Singapore. We think that's the right aircraft for Singapore, and many of the markets that United where we have this really high level of premium demand.

Probably the biggest expansion though, that I think is an opportunity is we undersized the Premium Plus cabin, the Cabin between Main Cabin and Polaris on our widebody jets. And that's the cabin, I think that's generating very good returns, and the one that we'll probably lean more into going forward. But we'll leave all the details for a later date. But Premium Plus is, I think, a really very exciting opportunity as a mid-range product between the front of the aircraft and the back.

And last but not least, the gauge benefit that Mike talked about, as we bring on these MAX 9s and A321XLRs, we definitely bring on many more premium seats than the aircraft, we ultimately replace the A319 or the A320. And so our premium mix shifts as we up-gauge the fleet and retire older ones and bring in these new ones that are just performing really well for us.

Operator

Duane Pfennigwerth, Evercore ISI.

Duane Pfennigwerth
Evercore Inc - Analyst

As you think about your aspirational longer-term margin targets, maybe pretax margins in the low teens from 7 or 8 today, I wonder which geography you expect to be the biggest contributor to that expansion?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Well, look, I think I've said it a number of times, and it's true. Our international margins are doing really well. And I think they're going to do better in the future with, for example, the Elevate 787 aircraft is going to push our margins even higher. But our international margins are pretty strong.

The domestic margins, which are positive to be clear. And not only the positive, they're positive in each and every one of our hubs, by the way, in the last 12 months. But the opportunity there is to load the gap between the domestic margins and our international ones, because I don't expect our domestic margins to really ever completely close that gap.

But I do think there's a lot of upside as we build connectivity. Our hubs are in big cities and they're undersized. We have the wrong gauge still -- we simply do not have nearly as many 321s as we hope to have at this point in time and of course, Boeing is yet to deliver our MAX 10, you talked about quite frequently.

And so we're well behind on the premium seat and the connectivity and the gauge that we intended to employ in our domestic system. And then the other thing, as Scott said, over and over again, there is a factor that there's a lot of uneconomic capacity offered by other airlines.

We've already seen that start to leave the system, and I expect we'll see more of that in the future, which will definitely help. But we have a core plan with premium seats gauge, connectivity. And we've had that same plan, by the way, for a long time period now. We continue to execute against it. And when we get to the bigger aircraft, I think you're going to see the margin gap close.

Duane Pfennigwerth
Evercore Inc - Analyst

And maybe one, just on pilot hiring. Just given the pickup in deliveries, is it fair to say you were overstaffed on pilots and now that you've seen a pickup in deliveries? Is that more in balance? Or is that unfair? Maybe there wasn't a mismatch. But just wondering how as these deliveries pick back up, is there a better alignment between your staffing levels and the ability to actually deploy it?

Torbjorn Enqvist
United Airlines Holdings Inc - Chief Operating Officer, Executive Vice President

You're thinking a little bit when it was coming out of COVID. We've been pretty balanced. We have a really good relationship with Boeing. There are not really any surprises. Like what Mike was saying is that we've built in like a couple of shelves each year that we may or may not move for a fact that we're getting. So it's so small. I mean we're hiring 3,000 pilots a year.

So we've been balanced for quite some time now. So I think the answer to your question is no. We're not overstaffed and we're not under staffed. We're just pretty much perfect when it comes to the pilot.

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Duane, I think what you're seeing partially in CASM ex, when I talk about running a great operation is that we are at the right staffing levels.

Operator

Michael Linenberg, Deutsche Bank.

Michael Linenberg
Deutsche Bank AG - Analyst

This is just a question for Scott about Newark and the fact that your caps -- I guess, it's 68 at the airport, runs through the end of October. And I think what we've seen is caps at Newark have clearly helped New York airspace and I guess, by extension, it's sort of helped the national airspace. What are the considerations that are out there right now that are, I guess, being debated with respect to returning Newark to a Level 3 airport?

J. Scott Kirby
United Airlines Holdings Inc - Chief Executive Officer, Director

So I am incredibly appreciative, happy with the Secretary Duffy, Mr. Bedford, DOT, the FAA for finally putting Newark on a level playing field with LaGuardia and JFK. I'm up -- literally been begging them to do that from the time I've been here at United. Let me just -- it's simple math.

When you schedule more flights than the airport can handle in perfect conditions, it's not going to be good. And regardless of what it gets called, I think we're going to have Newark effectively capacity control. I think they've realized -- they understand math. The current team understands math and we're going to have capacity control.

I think it will go up from where it is today. Actually, I'm pretty sure it's going to go up, but it's going to end in a place that is manageable, where Newark can continue to be a competitive airport. It's been the best of the three New York airports in the last month and that it will be every bit as competitive. And I think that has always been the key to realizing the full potential of Newark to -- it already is a crown jewel for us but making it a great airport for customers.

And as tough as this has been on us in the short term, it is going to be better for years to come because we have finally solved the obvious issue, which is match airport capacity, airport flights to the airports capacity, and put newer kind of level playing field with LaGuardia and JFK.

Michael Linenberg
Deutsche Bank AG - Analyst

And just a quick one to Mike. In your fleet plan, you're showing the 321 XLR. So how many are you getting this year? And then how soon do they find a way into international service?

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Mike, not in this year.

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

It will be the summer of 2026.

Operator

Stephen Trent, Citi.

Stephen Trent

Citi Research - Analyst

The first, I was just curious. I appreciate the comments about Europe and sort of the summer travel season extending. There's been stuff in the news about anti-tourism incidents in some cities. And are you guys seeing anything at all there in terms of what the flow looks like? Or it's not really an issue at this juncture.

Andrew Nocella

United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

I would just add, United disproportionately board US citizens of the United States. And so any changes in demand from outside into the United States, the brunt of that change is more felt by foreign flag. So you should ask them that question.

But our demand to Europe. We're having a very strong summer. I'm really happy with the results. It could always be better, but it's another strong summer to Europe, particularly to Southern Europe. So get out there and have a great vacation.

Operator

Thank you. We will now switch to the media portion of the call. (Operator Instructions)

Brandon Oglenski, Barclays.

Brandon Oglenski

Barclays Services Corp - Analyst

I'm not sure I'm media, but I'll (laughter)

Michael Leskinen

United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Your lucky day, Brandon.

Brandon Oglenski

Barclays Services Corp - Analyst

And Mike, I'll just keep it to one, but the commentary and outlook for \$2 billion of free cash flow this year, it's pretty impressive just given all the challenges you guys have had. But your CapEx is a little bit low. I mean you talked about the 787 delivery delays. So assuming Boeing gets back on plan for next year or into the out years, you're back into that \$7 billion to \$9 billion of CapEx range. Should we be thinking FCF at these levels as still a sustainable outlook?

Michael Leskinen

United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Brandon, thank you very much for the question. Let me point out that, that \$6.5 billion this year, there's some downside to that based on continued delays on the wide-body side. So I think we're going to come in inside of that this year. And as we roll to '26 and '27, I fully expect free cash flow to expand. I think operating cash flow is going to expand faster than CapEx.

We'll see there may be some puts and takes in an individual year, but I expect free cash flow to expand and free cash flow conversion to expand, both.

Brandon Oglenski
Barclays Services Corp - Analyst

Well, maybe that's a bullish way to leave it off for my media counterparts.

Editor

This concludes the analyst portion of this call.

Operator

Mary Schlangenstein, Bloomberg.

Mary Schlangenstein
Bloomberg News - Media

I wanted to see if you could provide an update on the status of the static interference and Starlink issues on United planes and whether the service and the regional jets are up and running now? If not, what's the issue? And how long will it take to get it resolved?

Torbjorn Enqvist
United Airlines Holdings Inc - Chief Operating Officer, Executive Vice President

Mary, it's a good question. This is Toby. I think it's pretty much been resolved and it's also very specific to the one -- the first aircraft we tried on which is the E175. Obviously, it's a smaller airplane and the biggest problem with interference. I'm obviously not an engineer. I just play one during the day. But anyway, it was too close. The two antennas were too close to each other. So they worked around that. We got 60 airplanes flying around right now.

We think that the issue is behind us. And again, for the other fleet types because the airplanes are that we're going to put them on are much larger, we won't have that issue.

Mary Schlangenstein
Bloomberg News - Media

Okay. And was that 60, 6-0 airplanes are already up with it?

Torbjorn Enqvist
United Airlines Holdings Inc - Chief Operating Officer, Executive Vice President

Yes, ma'am.

Operator

Leslie Josephs, CNBC.

Leslie Josephs
CNBC - Media

Just curious if you could give us an update on when you expect to get the MAX 10 and how once you get that, that's going to increase your premium capacity? And Scott, I know you were talking about Delta and United kind of in their own category and then everybody else. How do you feel about Delta starting LAX

to Hong Kong and to O'Hare?

Michael Leskinen
United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

Leslie, regarding the MAX 10, we're still hopeful that we can have some deliveries in 2027. But We, right now, have a contingency plan to be able to take MAX 9s and continue to work gauging strategy with MAX 9s. So either way, it won't be disruptive to our longer-term strategy. I would like to take the 10s and 2027 is my best guess right now.

Leslie Josephs
CNBC - Media

And on Delta?

J. Scott Kirby
United Airlines Holdings Inc - Chief Executive Officer, Director

We fly 6,000 flights a day. So a couple of new routes aren't that big of an issue for us. But I guess I feel complemented when other airlines feel like they're worried about us getting ahead and how to fly route that you're going to lose money for them.

Operator

Dawn Gilbertson, Wall Street Journal.

Dawn Gilbertson
The Wall Street Journal - Media

My question is for Andrew. I'm wondering you guys talked a lot recently about making Polaris even more premium. Are you weighing, like your new favorite brand-loyal competitor? Are you also weighing their [Boeing] business class tickets? And if so, can you walk us through that and talk about any timeline? If not, why not?

Andrew Nocella
United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer

Thanks, Dawn. Look, what I would say is over time, over the last 7- or 8 years, we've leaned heavily into segmentation of our revenues, which is a really -- in our particular way of saying, providing more and more choices to our customers. So they can pick the experience they would like from premium to basic economy. And we have learned through that time period that our customers really appreciate this.

Not everybody wants the full experience. Some people want other experiences, and so the value to United as an airline and to that of customers has been proven by the segmentation revenues that we've done. And we look forward to continuing to diversify our revenue base and segment in the appropriate way, and I'll leave it at that.

Operator

I will now turn the call back over to Kristina Edwards for closing remarks.

Kristina Edwards

United Airlines Holdings Inc - Managing Director, Investor Relations

Thanks for joining the call today. Please contact Investor or Media Relations if you have any further questions, and we look forward to talking to you next quarter as the industry transformation continues.

Operator

Ladies and gentlemen, this does conclude today's conference call. Thank you for your participation, and you may now disconnect.

Call Participants

Corporate Participants

Kristina Edwards, United Airlines Holdings Inc - Managing Director, Investor Relations
 J. Scott Kirby, United Airlines Holdings Inc - Chief Executive Officer, Director
 Torbjorn Enqvist, United Airlines Holdings Inc - Chief Operating Officer, Executive Vice President
 Andrew Nocella, United Airlines Holdings Inc - Executive Vice President and Chief Commercial Officer
 Michael Leskinen, United Airlines Holdings Inc - Chief Financial Officer, Executive Vice President

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 Connor Cunningham, Melius Research LLC - Analyst
 Andrew Didora, BofA Securities, Inc - Analyst
 Scott Group, Wolfe Research LLC - Analyst
 Thomas Fitzgerald, TD Cowen - Analyst
 Catherine O'Brien, Goldman Sachs Group Inc - Analyst
 Duane Pfennigwerth, Evercore Inc - Analyst
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 Dawn Gilbertson, The Wall Street Journal - Media

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